

Earnings Preview: Rigetti Computing, Inc.

(NASDAQ: RGTI)

Upcoming Earnings: Thursday, August 6, 2026, after the US close — 21:00 UTC / 23:00 CEST [1] **Reporting for:** Q2 FY2026 (quarter ended June 30, 2026) **Spot reference:** \$16.78 (Aug 5, 2026 close) · Market cap \$5.58bn · EV \$5.54bn · 52-wk range \$12.53–\$58.15 · Beta 1.96 [2]

Executive Summary

Rigetti will almost certainly report a large percentage revenue increase tonight, and that is the least informative thing about the print. The setup is a lumpy-shipment beat into positioning that is already leaning long, at a valuation where 90% of the share price is option value on quantum advantage rather than any discountable cash flow.

- **Driver 1 — Novera revenue timing is a near-guaranteed beat with near-zero information content.** Management explicitly guided that the remainder of previously announced Novera QPU orders would be recognised largely in Q2 [14][19]. Consensus sits at ~\$4.9m (+173% YoY) [3]. A beat is likely; it is shipment timing, and Q3 consensus of \$3.79m already embeds a sequential *decline* [2] — so a Q2 pull-forward mechanically raises Q3 disappointment risk.
- **Driver 2 — gross margin has gone negative, and consensus does not model it at all.** Q1 2026 cost of revenue was \$5.64m on \$4.40m of revenue: **-28.1% gross margin**, versus +30.0% in Q1 2025 and -92.1% in Q4 2025 [2][6]. When Rigetti ships hardware, it ships below cost. Sell-side numbers for 2026–27 carry no meaningful cost line (the estimate feed sets EBITDA equal to negative revenue) [2]. Revenue growth here is not yet evidence of a business.
- **Driver 3 — the \$100m Commerce award is still a letter of intent, and it comes with a US government equity stake.** The May 21 LOI drove a move of as much as +65% [11][23]. Terms, milestone conditions and stake size are unresolved; with \$569m of cash, no debt [31] and ~\$82m of annual free cash burn [2], Rigetti does not need this money for runway — and would now be taking it 24% lower on the share price than when the LOI was signed.

Net stance into the print: neutral with negative skew on the reaction, not on the business. Probability-weighted expected value is +8.0% versus spot (see scenarios), which is *smaller than the ±12.2% single-day move the options market is pricing* [9]. That asymmetry — an expected value inside the noise band — is the whole trade.

Primary drivers — EPIC documentation

Driver	E (material)	P (forecastable)	I (consensus blind spot)	C (my gap vs consensus)	Why prioritized
1. Novera / on-prem revenue recognition timing	✓ Drives the headline line and the "inflection" narrative; Q1 revenue tripled on the same mechanism [5]	✓ Management pre-announced Q2 recognition [14][19]; three named 2026 on-prem systems (Asian corporate, Bay Area corporate, C-DAC India) [20]	✓ Partially — the Street models the revenue but systematically reads a shipment beat as a <i>demand</i> signal. Q3 estimate dispersion is \$1.53m-\$6.17m on 7 analysts [2]: a 4x spread means there is no real consensus to beat	✓ I put ~60-65% on a revenue beat, but expect no upgrade to recurring revenue quality , and I expect Q3 framing to be cautious. Falsifiable on the reported figure and Q3 commentary	Highest-probability event on the night; the market's <i>interpretation</i> of it is where the mispricing sits
2. Negative gross margin on hardware	✓ If revenue converts at negative gross margin, growth consumes capital rather than creating value — it inverts the bull narrative	✓ Mechanical and evidenced: negative in 2 of the last 3 quarters; the quarters with the most hardware revenue are the <i>worst</i> margin quarters [2]	✓ Yes — the clearest blind spot. Coverage is framed almost entirely on revenue growth % and non-GAAP EPS. Published estimates carry no modelled cost of revenue for 2026-27 [2]	✓ I expect Q2 gross margin negative again (~70%), and incremental gross profit on the Novera beat at roughly zero-to-negative. Falsifiable: compare reported cost of revenue to revenue on the print	This is where my view differs most from the published narrative, and it is checkable within minutes of the release
3. \$100m Commerce LOI → definitive terms + equity stake	✓ Drove a +65% move on announcement [23]; conversion terms determine whether it is free R&D or dilution at a depressed price	~ Partially — you can form a view on ATM cadence (~\$100m already raised [13]) and on whether definitive documentation lands; the stake's precise terms are not forecastable	✓ The market priced the gross \$100m as validation and largely ignored the equity component. Polymarket at 72% for a US government stake by year-end [24] shows the stake is expected but its <i>terms</i> are unpriced	✓ I expect management to remain non-specific on terms rather than announce definitive documentation, and I read any ATM usage disclosed in the 10-Q as the more important number than the \$100m headline	Highest-variance disclosure risk in the filing, and the one least discussed in preview coverage

Deprioritized this period, deliberately: (a) the 99.5% two-qubit fidelity target is a *year-end* milestone with a separately promised roadmap update "later this year" [7][8] — unlikely to resolve tonight; (b) **litigation and regulatory action: nothing material surfaced** across filings and news queries covering the last 90 days (and filings back to January 2026) — no securities class action, SEC or DOJ matter, fine or antitrust proceeding; (c) revenue segmentation — the disclosed product line ("access to quantum computing systems") was \$55k in Q1 2026 [2], too small to analyse.

Earnings quality quick screen

Check	This period / trend	Red-flag threshold	Watch for (next print)
OCF / Net income	GAAP net income is not usable: Q1 2026 GAAP net income was +\$33.1m while operating cash flow was -\$16.2m (income quality -0.49 ; TTM 0.27) [2]. The signal-bearing comparison is OCF -\$16.2m vs non-GAAP net loss -\$14.7m → 1.10x — cash burn slightly exceeds the adjusted loss [2] [5]	Sustained >0.8 healthy; widening gap → dig	Whether OCF burn stays roughly in line with the non-GAAP loss, or diverges. Watch capex: Q1 capex \$4.4m with fab upgrades flagged for the rest of 2026 [15] — FCF burn was \$20.6m in Q1, ~\$82m annualised
DSO vs revenue growth	Improving , not deteriorating: DSO 89.5 days in Q1 2026 vs 122.9 (Q4 2025) and 105.3 (Q3 2025); TTM 159.5 days [2]. Receivables rose 72% QoQ to \$4.38m against revenue up 136% QoQ — receivables grew <i>slower</i> than revenue [2]	DSO rising faster than revenue → recognition risk	If Q2's Novera revenue lands mostly in receivables rather than cash, DSO back above 120 days. Also watch deferred revenue — only \$1.06m at Q1, i.e. almost no balance-sheet backlog visibility [2]
GAAP vs non-GAAP EPS gap	Enormous and sign-flipping . Q1 2026: GAAP net income +\$33.1m vs non-GAAP net loss -\$14.7m — a \$47.8m gap from warrant/earnout fair-value remeasurement; GAAP diluted EPS -\$0.06 vs non-GAAP -\$0.04 [5]. Stock-based comp was \$5.89m = 134% of revenue (TTM 193%) [2]	Large or widening gap → quality question	Expect the sign to reverse this quarter . The FV adjustment moves with the share price: RGTI <i>fell</i> ~37% in Q1 (≈\$22.15→\$14.03) producing a non-cash gain, but <i>rose</i> through Q2 (≈\$14.03→~\$19) [2], which should produce a non-cash charge . A headline GAAP loss far worse than non-GAAP would be mechanical, not operational

Data-quality correction worth flagging. An automated sentiment read of the Q1 10-Q surfaced "significant deficiencies / material weaknesses in internal control over financial reporting" [25]. On checking the filing directly, that is a misattribution of standard SOX §302 certification boilerplate. The 10-Q states management "concluded that, as of March 31, 2026, our disclosure controls and procedures were **effective** at a reasonable assurance level," with "no material changes" in ICFR during the quarter [6]. **There is no disclosed material weakness.** Treat it as a non-risk.

Financial Expectations

Consensus Estimates — Q2 FY2026

Metric	Consensus	YoY
Revenue	\$4.91m (Zacks) [3]; \$5.09m (Benzinga-cited Street) [4]	+173% vs \$1.80m [2]
EPS (non-GAAP)	-\$0.03 (Zacks) [3]; -\$0.05 (Benzinga-cited) [4]	+40% vs -\$0.13 [2][3]
Operating margin	Not published — no meaningful cost line in consensus feeds [2]	Q1 2026 actual: -590% [2]
Gross margin	Not modelled by consensus	Q1 2026 actual: -28.1% ; Q1 2025: +30.0% [2]
FY2026 revenue	\$25.32m (Zacks, +257%) [3]; \$30.5m (Wedbush) [16]; ~\$23.4m (tearsheet estimate feed) [2]	—
FY2026 EPS	-\$0.18 (Zacks, +71.9%) [3]	—
Estimate revisions	Q2 EPS consensus unchanged over the last 30 days [3]	—

Forward consensus trajectory (tearsheet, mean): Q3 2026 revenue **\$3.79m** (range \$1.53–6.17m, 7 analysts), Q4 2026 **\$10.30m**, FY2027 $\approx$ **\$52.5m**, FY2028 $\approx$ \$100m [2][28], 2029 $\approx$ \$170m base / \$286m bull [29].

Recent Performance Context

Q1 2026 (reported May 11): revenue **\$4.40m** vs \$4.09m consensus (+7.7% beat), non-GAAP EPS **-\$0.04** vs $-\$0.041$ (+2.0%) [2]. Revenue up $\sim 199\%$ YoY, driven primarily by on-premises Novera QPU deliveries and government/research contracts [5][19]. Operating loss **\$26.0m**; R&D \$19.96m (+29% YoY); cash, equivalents and available-for-sale investments **\$569.0m** with no debt [5][31]. Free cash outflow \$20.6m in the quarter. Revenue is lumpy by construction — management has said explicitly that deliveries drive "significant year-over-year growth, albeit with some variability quarter-to-quarter based on shipment timing and contract mix" [20].

Sentiment & positioning

Data type	Metric / fact	Source	As of
Quantified news sentiment	Score 0.043 (neutral band) vs 90-day baseline 0.087; momentum -0.044 ; z-score -1.2 (1mo) / -1.1 (1qt). Media attention momentum -4.1% , z 0.6 / 0.3	Bigdata.com sentiment tearsheet [25]	Aug 6, 2026
Options / derivatives positioning	Put/call 0.51 vs typical 0.58; 90k contracts, $>2\times$ daily average; IV30 $\sim$ 100.1 , above 52-wk median; put-call skew flattened (modestly bullish); market pricing 50% probability of a move $>12.19\%$ ($\pm\\$1.96$) on the print. Jul 30: 19,783 calls at 1.9x expected, P/C 0.20	The Fly / Cboe [9] [10]	Aug 3 / Jul 30, 2026
Short interest / borrow	Not available in data — no short-interest or borrow figure surfaced in tearsheet or search	—	—
Institutional ownership / 13F	Holders 439 (-21 QoQ); shares held 173.7m (+8.5%); ownership 52.28% (+3.78pp); capital invested -31% to \$2.44bn ; funds holding RGTI in their top 10 fell 4 $\rightarrow$ 1 ; fund call value \$271m vs puts \$227m (+19% calls)	Bigdata.com tearsheet, fund trends [2]	Q1 2026 13F
Largest holder moves	Buys: D.E. Shaw +10.4m sh (+296%) , HRT Financial +3.5m, Defiance ETFs +3.1m, Two Sigma +2.7m, UBS +2.0m. Sells: Renaissance Technologies -1.85m (position closed) , Victory Capital -1.70m (-66%), Quadrature -1.25m (-57%)	Bigdata.com tearsheet [2]	Q1 2026 13F
Insider transactions	No Form 4 filings surfaced in the last 90 days. Historical: CEO Subodh Kulkarni sold $\sim 1\text{m}$ shares for $\sim \$11\text{m}$ near the 2025 peak [21]; commentary continues to reference "significant insider selling in recent months" without specifics [30]	Search [21][30]	May 14 / Aug 2, 2026
Sell-side posture	6 Buy / 1 Hold (tearsheet, 7 covering); consensus PT \$29 , median \$27, high \$40, low \$20 [2]. Broader count: 9 analysts, average \$30.71 [34]. Recent actions all constructive: Wedbush assumed Outperform, \$40 (Aug 3, FY26 revenue \$30.5m) [16][17]; Rosenblatt \$40 reiterated (Jul 29) [34]; Benchmark initiated Buy \$25 (Jul 27) [16]; Cantor Fitzgerald and Craig-Hallum \$30 [16]; Mizuho Outperform \$27, Needham Buy \$31 [4]. Zero sell ratings; zero downgrades in the window	Bigdata.com tearsheet + search [2][4][16] [17][34]	Aug 3, 2026

The tension in this table matters more than any single row. Quantified news sentiment is drifting *down* (z -1.2) and institutional capital committed fell 31% with top-10 conviction collapsing 4 $\rightarrow$ 1 — yet options positioning into the print is bullish and the marginal 13F buyers are quantitative firms (D.E. Shaw, HRT, Two Sigma, Defiance's leveraged ETF), not long-only fundamental holders. That is momentum and market-making flow rebuilding a position, not conviction accumulating.

Recent Developments and Initiatives

- **Jul 27, 2026 — TangleLab with HPE and the Pittsburgh Supercomputing Center**, a hybrid quantum-classical testbed funded by a **\$5m NSF grant**, powered by a 9-qubit Novera system [12][32]. Stock rose 12.5% on the day. *Implication: bullish for positioning and pipeline, immaterial to near-term revenue — \$5m is the grant to the consortium, not a Rigetti contract value.*
- **Aug 3, 2026 — Wedbush assumed coverage at Outperform, \$40 PT**, modelling FY2026 revenue of \$30.5m and Q4 2026 of \$14.8m, and citing Moody's and Standard Chartered relationships plus the UK deployment [16][17]. *Implication: bullish; note the \$30.5m FY26 estimate is 20% above the \$25.3m Zacks consensus — the buy-side bar is above the published one.*
- **May 21, 2026 — Letter of intent with the US Department of Commerce for up to \$100m over three years** to accelerate superconducting quantum R&D, with the company acknowledging the government **may take an equity stake** [11]. Part of a ~\$2bn nine-company federal quantum programme. Stock rose as much as 65% [23]. *Implication: two-sided — validation and non-dilutive-looking capital, but an unpriced equity component and no definitive agreement yet.*
- **Apr 7, 2026 — Cepheus-1-108Q generally available** on Rigetti QCS, Amazon Braket, Microsoft Azure Quantum and qBraid; 12 interconnected 9-qubit chiplets; **99.1% median two-qubit gate fidelity at ~60ns**, 99.9% single-qubit; targeting **99.5% two-qubit later in 2026**; roadmap update promised once operational data is incorporated [7][8]. First >100-qubit gate-based device on Braket. *Implication: bullish technical validation of the chiplet architecture; not yet monetisable.*
- **Jan-H2 2026 — \$8.4m C-DAC order** (108-qubit system, Bengaluru) on track for **second-half 2026 deployment** [6][19][27]. *Implication: the largest single visible contract; a slip to 2027 would gut the Q4 revenue estimate of \$10.3m.*
- **Ongoing — up to \$100m UK investment** over several years toward a 1,000+ qubit UK system in 3–4 years, building on the 36-qubit system at the UK National Quantum Computing Centre [7][27]. Plus a Quanta Computer arrangement of >\$100m each over five years [27].
- **May 22, 2026 — Oxford Instruments to supply atomic layer etch equipment** to expand Rigetti's in-house fabrication [33]. *Implication: bearish for near-term cash — this is the fab capex flagged as a 2026 headwind [15].*
- **Government contract cadence:** DARPA Quantum Benchmarking Initiative Stage A award **\$1m**; Air Force Research Laboratory contract **\$5.8m** (Sept 2025) [22]. *Implication: small dollars, useful relationship signal, and a reminder that revenue is government-concentrated.*
- **Dilution mechanics:** an at-the-market equity programme has already raised roughly **\$100m**, and share count has climbed from 298m weighted-average shares (Q2 2025) to 332m (Q1 2026), +11% in three quarters [2][13].
- **Legal / regulatory: nothing material.** No litigation, class action, investigation, fine or regulatory proceeding surfaced in filings or news across the search window.

Industry Trends and Sector Dynamics

- **Sector de-rating, then a sharp August bid.** Quantum pure-plays sold off hard through mid-2026 — RGTI was the worst hit, down ~40% YTD at its July trough [15] — then rallied on deal news (D-Wave/Nasdaq Verafin, IonQ's \$1.8bn SkyWater acquisition) with RGTI up 7–9% on Aug 3 with **no company-specific catalyst** [8k]. *Impact: RGTI trades as a high-beta sector expression (beta 1.96); the print will be read through sector sentiment as much as through its own numbers.*
- **Government money is the sector's revenue engine, and that is the concentration risk.** The \$2bn federal programme, CHIPS incentives, NSF grants and DARPA QBI dominate the visible order book across all pure-plays [11][22]. *Impact: bullish for revenue visibility, bearish for quality of revenue — it is grant-like, milestone-based, and politically contingent.*

- **The credibility bar just moved.** IBM and Algorithmiq published research demonstrating quantum advantage in late July, and IBM's CEO put measurable P&L impact at 2028-29 and a trillion dollars of value by the end of the 2030s [26]. *Impact: two-sided for Rigetti — it validates the category timeline (close to Rigetti's own "roughly three years") while raising the standard against which Rigetti's 99.1% fidelity at 108 qubits is judged. IBM's 120-qubit system remains ahead on scale [20].*
- **Modality is unresolved, which supports the option value.** Wedbush's own framing is that there is "not yet a clear winner as to which modality will prove best suited for general-purpose, mass-adopted quantum computing" [17]. *Impact: sustains a wide distribution of outcomes — which is precisely why a multiple-based valuation on 2026 revenue is meaningless here.*
- **Universal reliance on equity issuance.** Every pure-play funds R&D through repeated raises, producing continuous dilution across the group [18]. *Impact: Rigetti is the best-capitalised of the three (\$569m, no debt [31]) — a genuine relative advantage, and the reason its equity story is less fragile than D-Wave's or QUBT's.*

What's priced in

Lens	Implied by market	Consensus	My view
Growth	EV \$5.54bn on \$10.0m TTM revenue = 553x EV/sales [2]. A conceptual reverse-DCF — assume a mature 20% FCF margin, a 20x FCF exit multiple, seven years out — requires ~\$3.7bn of revenue at a 15% discount rate, or ~\$5.0bn at 20% . That is 145-200x the FY2026 estimate	FY26 \$25.3m (+257%), FY27 ~\$52.5m, FY28 ~\$100m, 2029 \$170m base / \$286m bull [3][28][29]	Even the most bullish published 2029 number is 13-17x short of what spot embeds. The price is not a growth forecast; it is an option premium on quantum advantage arriving and Rigetti being one of the winners. That is a legitimate thing to own — but it means quarterly revenue is nearly irrelevant to fair value, and any framing of "the beat justifies the multiple" is unsound
Margins	Implied eventual 20%+ FCF margins at multi-billion scale	No modelled cost line for 2026-27 — the estimate feed sets EBITDA and EBIT equal to negative revenue [2]	Gross margin is currently negative (-28.1% Q1 2026) and worsens in heavy-shipment quarters. Nobody's published numbers reflect this. The path from -28% gross margin to a 20% FCF margin is the single largest unexamined assumption in the bull case
Beat / miss bar	Options price a 50% chance of a >12.2% move ; P/C 0.51 vs 0.58 typical and calls at 1.9-2x normal volume [9][10] → positioning tilted to a beat. Wedbush's \$30.5m FY26 sits 20% above published consensus [16], so the <i>effective</i> whisper is above \$4.91m	Zacks \$4.91m / -\$0.03 [3]; Benzinga-cited \$5.09m / -\$0.05 [4]	The bar is higher than the published consensus. Management pre-flagged Q2 Novera recognition [14][19], so the beat is largely known. A revenue beat of <15%, with gross margin still negative and cautious Q3 framing against a \$3.79m Q3 estimate, is a classic sell-the-news configuration

Valuation cross-check

Metric	RGTI	Context
EV / Sales (TTM)	553x [2]	vs IonQ ~58x P/S; D-Wave ~480x [18]. RGTI and D-Wave are the sector's most extreme
EV / Sales (FY26E)	~219x	Falls to ~105x on FY27E, ~55x on FY28E, ~33x on 2029 base [2][28][29]
P / Book	9.5x ; book value \$1.76/sh [2]	Book is essentially the cash pile
FCF yield	-1.46% (TTM FCF -\$81.6m) [2]	~7 years of runway at the current rate — but capex is rising [15]
Net cash per share	\$1.71 (\$568m / 332m sh) [2][16]	Only ~10% of the \$16.78 price is net cash; ~\$15.07/share — \$5.0bn — is option value on a business with \$10m of trailing revenue and negative gross margin
Price vs trend	12% below the 50-day MA (\$19.14) and 23% below the 200-day (\$21.77); death cross since February; 9.3% of the way up the 52-week range [2][26]	Technically damaged; the stock is cheap only relative to its own bubble, not to its fundamentals

Verdict: rich on every fundamental measure, and simultaneously not analysable on multiples.

Relative to *embedded expectations*, valuation implies substantial **optimism** — but the honest statement is that RGTI is priced as a long-dated call option on quantum advantage. What that makes falsifiable at the print is narrow: the direction of gross margin, the cash burn trajectory, and the credibility of the fidelity roadmap. Not the revenue number.

Variant perception (FaVeS)

Fundamentals

Three KPIs decide this quarter, and only one of them is what the market will headline. **(i) Revenue vs the ~\$4.9m bar** — near-certain to be large YoY, driven by Novera recognition management already told us about [14][19]; low information content (Driver 1). **(ii) Gross margin sign** — the metric with the highest information-to-attention ratio on the entire print. Two of the last three quarters were negative, and the negative quarters are the *hardware-heavy* ones [2]. If Q2's revenue beat arrives with gross margin at -25% or worse, the correct reading is that Rigetti is buying revenue, and the "commercial inflection" framing is premature (Driver 2). **(iii) Operating expense and capex trajectory** — Q1 opex was \$24.7m with R&D +29% YoY, and fab upgrades are flagged for the balance of the year [15]. Consensus, having modelled essentially no cost line [2], is most exposed here. Where I differ from consensus is not on the revenue number but on what it costs: I expect the quarter to show that scaling revenue currently *increases* cash burn per dollar of sales.

Valuation

Cross-referencing the two tables above: only \$1.71 of the \$16.78 share price is net cash, so the market is paying ~\$5.0bn for the option [2][16]. In plain English, spot embeds Rigetti reaching **several billion dollars of revenue at healthy margins within roughly a decade** — against a base-case sell-side path of \$170m by 2029 [29] and a most-bullish path of \$286m [29]. The gap is more than an order of magnitude. This is not a claim that RGTI is overvalued in the conventional sense; a lottery-ticket payoff structure can be correctly priced. It is a claim that no plausible Q2 result changes fair value materially, which is why I treat the print as a positioning event rather than a valuation event.

Sentiment

The positioning table splits cleanly into two signals pointing opposite ways, and conflating them is the common error. **Behaviourally priced in:** a beat. Options are leaning long into the print (P/C 0.51 vs 0.58 typical, calls at ~2x normal, IV30 ~100), skew has flattened, and the stock has run 10.4% in five sessions into the event [2][9][10]. **Not priced in fundamentally:** conviction. Quantified news sentiment is at 0.043 against a 0.087 baseline with a 1-month z-score of -1.2 [25], institutional capital invested fell 31% QoQ, and funds holding RGTI as a top-10 position collapsed from four to one [2]. The Q1 13F buyers were quant shops and a leveraged ETF sponsor. So the *flow* is bullish and fast; the *ownership base* is thinning and less anchored. That combination is what makes a modest beat vulnerable to a negative reaction — there is no patient holder base to absorb profit-taking. Note also that the constructive sell-side tape (6 Buy / 1 Hold, zero downgrades, PT \$29 vs \$16.78 spot [2]) is a single-analyst-call phenomenon, not systematic positioning data, and should be weighted accordingly.

Bull Case: Drivers for Upside Surprise

1. Both remaining Novera systems plus government contracts land in Q2, taking revenue meaningfully above the bar. - Evidence: management guided the remaining Novera revenue would be "largely booked in the second quarter after partial recognition in the first" [14][19]; three named on-prem systems were committed for 2026 [20]; Wedbush models \$30.5m for FY26 vs \$25.3m consensus [16]. - Impact: revenue of \$6.5–7.5m versus \$4.91m consensus is a 32–53% beat. Against a Q3 estimate of only \$3.79m, a Q2 print near \$7m also implies the FY26 path is tracking to the high end, supporting Wedbush's \$30.5m.

2. Gross margin returns to positive, validating the unit economics of the Novera product line. - Evidence: Q1 2025 gross margin was +30.0% and Q3 2025 was +20.7% [2] — positive margin is achievable on this mix; the negative quarters coincide with new-system deliveries carrying first-article costs. - Impact: this is the highest-value surprise available tonight. Positive gross margin on a \$6m+ revenue quarter would be the first genuine evidence that hardware revenue is value-creating, and would legitimately re-rate the FY27 \$52.5m consensus from "grant flow" to "product revenue."

3. Definitive Commerce agreement on terms that limit dilution, plus C-DAC confirmed on schedule. - Evidence: LOI signed May 21 for up to \$100m over three years [11]; Polymarket prices 72% odds of a US government stake by year-end [24]; the \$8.4m C-DAC system is guided for H2 2026 deployment [19] [27]. - Impact: \$100m of milestone R&D funding against ~\$82m of annual FCF burn effectively extends runway by a year without an ATM raise. Confirming C-DAC de-risks the \$10.3m Q4 consensus, which currently rests largely on that one contract.

4. Fidelity progress toward the 99.5% two-qubit target, or an early roadmap update. - Evidence: 108Q currently at 99.1% median two-qubit fidelity at ~60ns; the prototype has achieved 99.9% at 28ns; management targets 99.5% "later this year" and a roadmap refresh once operational data is in [7][8]. - Impact: the roadmap is the asset. Evidence of the prototype's adiabatic CZ gate scheme migrating into the 108-qubit system at scale is the most direct support for the "quantum advantage in ~3 years" claim on which the entire \$5bn option value rests.

5. Strategic-interest optionality. - Evidence: Rigetti is a rare full-stack superconducting asset with in-house Fab-1, hyperscaler integrations (Braket, Azure Quantum), \$569m net cash and no debt, at a market cap that has halved from its highs; IonQ has demonstrated it will consolidate (\$1.8bn SkyWater) [24]. - Impact: unquantifiable but real tail-risk to the upside — a floor under valuation that most cash-burning peers lack. No deal talks have been reported [24]; treat strictly as optionality, not a thesis.

Bear Case: Risks to Consensus

1. The revenue beat is shipment timing, and it steals from Q3 — a recurring, structural pattern, not a one-time. - Evidence: management's own language — deliveries drive "significant year-over-year

growth, albeit with some variability quarter-to-quarter based on shipment timing and contract mix" [20]. Q3 consensus of \$3.79m is *below* Q1's \$4.40m actual, with a \$1.53–6.17m dispersion across 7 analysts [2]. - Impact: a Q2 beat to \$6.5m followed by Q3 guidance consistent with \$3.79m frames the year as lumpy grant-and-shipment flow rather than a growth curve. That is a de-rating narrative, and it is the most likely single outcome tonight.

2. Negative gross margin means revenue growth destroys cash — sustainable, not one-time.

Evidence: Q1 2026 gross margin -28.1% (COGS \$5.64m on revenue \$4.40m); Q4 2025 -92.1% [2]. Cost of revenue grew **447% YoY** against revenue up 199%. - Impact: quantifiable. If Q2 revenue is \$6.0m at -25% gross margin, the gross loss is ~\$1.5m and total quarterly cash costs run ~\$32m against \$6m of revenue. Every incremental hardware dollar widens the burn. This directly undermines the bridge to the 20%+ FCF margins embedded in the share price, and is the bear point most likely to be missing from consensus models.

3. Operating expense and capex escalation, with fab investment landing in 2026.

Evidence: Q1 opex \$24.7m (R&D \$19.96m, +29% YoY); commentary flags "costly fab upgrades and other capital expenditures anticipated throughout the year" [15]; Oxford Instruments ALE equipment ordered in May [33]; job postings up 48% QoQ [2]. - Impact: FCF burn was \$20.6m in Q1 (~\$82m annualised, and one estimate puts it near \$100m/yr [21]). A step-up to \$25–30m per quarter cuts runway from ~7 years toward ~5 and raises the probability of an ATM raise into a weak tape.

4. Dilution — an ATM already used for ~\$100m, plus a prospective US government equity stake at a 24%-lower share price.

Evidence: the ATM has raised roughly \$100m to date [13]; weighted-average shares rose from 298m (Q2 2025) to 332m (Q1 2026), **+11% in three quarters** [2]; the Commerce LOI contemplates a government equity stake [11], with the market at 72% odds it happens by year-end [24]. - Impact: continued 10%+ annual share-count growth is a direct, mechanical drag: at constant enterprise value it costs roughly 10% of per-share value annually. Any ATM usage disclosed in the Q2 10-Q at prices near current levels is worse than the May issuance economics.

5. Government-revenue concentration and political contingency.

Evidence: revenue is dominated by government, national-lab and academic customers — C-DAC, AFRL, DARPA QBI, NSF-funded TangleLab, the Commerce programme [11][12][19][22]; management stated commercial data-centre engagement "shouldn't be" expected "for the next year or two" and only near quantum advantage in ~3 years [7]. - Impact: this is grant-like, milestone-based, politically contingent revenue. A change in federal quantum appropriations or a delay in definitive Commerce documentation removes the principal growth driver, and there is almost no balance-sheet backlog to fall back on — deferred revenue was just \$1.06m at Q1 [2].

6. GAAP optics could be alarming for mechanical reasons.

Evidence: warrant/earnout fair-value remeasurement swung Q1 GAAP net income to +\$33.1m against a -\$14.7m non-GAAP loss [5]; the adjustment tracks the share price, which rose ~35% during Q2 [2]. - Impact: expect a large non-cash **charge** this quarter, potentially producing a headline GAAP loss far worse than the -\$0.03 consensus. Non-economic, but capable of driving an algorithmic and retail reaction in the first minutes after the release. Know this before the headline prints.

7. Technically damaged and sector-correlated.

Evidence: 12% below the 50-day MA, 23% below the 200-day, death cross since February, RSI ~55 [26]; beta 1.96; the Aug 3 rally had no company-specific catalyst [8k]. - Impact: a sector risk-off move can override a good print entirely. Support at ~\$15, resistance ~\$20.50 [26].

Scenario analysis

Spot \$16.78. Option markets imply a 50% probability of a move greater than $\pm 12.2\%$ ($\pm \$1.96$) on the print [9]. Analyst PT band \$20–\$40, consensus \$29 [2].

Scenario	Probability	Key assumptions	Price / value	Implied return vs spot
Bull	25%	Revenue $\geq$ \$6.5m (both remaining Novera systems + govt contracts); gross margin positive ; definitive Commerce agreement with limited dilution; constructive progress toward 99.5% fidelity; C-DAC confirmed for H2. Sector bid holds	\$27 (mid of the \$25–30 PT cluster: Benchmark \$25, Cantor/Craig-Hallum \$30)	+61%
Base	50%	Revenue \$5.0–6.0m — a modest, pre-flagged beat; gross margin still negative or ~breakeven ; GAAP loss inflated by a non-cash warrant charge; Commerce still an LOI; no roadmap update; Q3 framed cautiously against a \$3.79m estimate. Beat gets discounted as shipment timing	\$16.50 ($\approx$ spot; range \$15–19, between 20-day support and 50-day resistance)	-2%
Bear	25%	Revenue misses at \$4.0–4.5m or a shipment slips to Q3; gross margin deeply negative; opex/capex step-up on fab; ATM usage or dilutive government-stake terms disclosed; sector sympathy selling	\$12.50 (retest of the \$12.53 52-week low)	-25%
Total	100%			

Probability-weighted view:

$$\begin{aligned}
 \text{EV} &= (0.25 \times \$27.00) + (0.50 \times \$16.50) + (0.25 \times \$12.50) \\
 &= \$6.750 + \$8.250 + \$3.125 \\
 &= \$18.13 \text{ per share}
 \end{aligned}$$

Expected upside vs \$16.78 spot: +8.0%. Tail asymmetry is favourable — +61% versus -25% at equal 25% probabilities, a ~2.4:1 reward-to-risk on the tails — but **the +8.0% expected value sits inside the $\pm 12.2\%$ single-day move the options market is already pricing** [9]. Translated: the edge is smaller than the noise. Probability weights reflect (a) a genuinely high likelihood of a revenue beat, offset by (b) a low likelihood that the beat is accompanied by the margin evidence needed to re-rate, and (c) a fat left tail from dilution disclosure and sector beta.

Key Metrics to Watch

- Cost of revenue versus revenue — the gross margin sign.** The single highest-value number in the release and the least-watched. Q1 was -28.1%; Q1 2025 was +30.0% [2]. Positive gross margin on a \$6m+ quarter is the genuine bull surprise; another deeply negative quarter says Rigetti is buying revenue. Check this *before* reacting to the headline.
- Q3 framing versus the \$3.79m consensus.** Q3 estimates already imply a sequential decline from Q1's actual [2]. Any commentary confirming that trough — or pushing C-DAC's \$8.4m past Q4 — turns tonight's beat into tomorrow's de-rating. Conversely, management refusing to validate a sub-\$4m Q3 is quietly bullish.
- Operating cash burn and capex.** Q1: OCF -\$16.2m, capex -\$4.4m, FCF -\$20.6m [2]. With fab upgrades flagged for the year [15][33], watch whether quarterly FCF burn breaks above \$25m — that is the level at which the ~7-year runway starts compressing toward the point where an ATM raise becomes necessary rather than opportunistic.
- Share count and ATM activity in the 10-Q.** Weighted-average shares went 298m $\rightarrow$ 332m in three quarters [2]. Any Q2 ATM issuance, and the price at which it was done, is more consequential to per-share value than the revenue line.
- Commerce award status and equity-stake terms.** LOI $\rightarrow$ definitive agreement, dollar amount, milestone conditions, and the size and structure of any government equity stake [11][24]. This is the largest binary in the story and the most likely source of a disclosure surprise in either direction.

6. **Cepheus-1-108Q fidelity progress and roadmap timing.** Current 99.1% median two-qubit at ~60ns versus the 99.5% year-end target, and whether the promised roadmap update is dated [7][8]. This is what the \$5bn of option value is actually written on.

Management Guidance Focus Areas

- **"How much of Q2 revenue was Novera hardware, and what was its gross margin?"** — the question that separates commercial traction from shipment accounting. Management has not historically volunteered margin-by-product detail; press for it in Q&A.
- **Q3 and H2 shape.** Whether the remaining on-prem pipeline (beyond the three named 2026 systems [20]) is contracted or prospective, and whether C-DAC's H2 deployment is on schedule.
- **Commerce LOI mechanics.** Timing of definitive documentation, whether the \$100m is milestone-gated, and — most importantly — the structure and size of any equity component and its dilution effect.
- **Capital plans.** Explicit questions on ATM intentions given \$569m of cash: does management see itself as a buyer of runway at these levels, or will it defend the share count?
- **Fab-1 capex.** Total expected 2026 capex following the Oxford Instruments ALE purchase [33], and whether the fab investment carries a gross-margin payback thesis.
- **Cloud utilisation on Cepheus-1-108Q.** Management called early interest "encouraging" [14] but conceded on the Q1 call that usage uplift over the 36-qubit system is "hard to quantify" [7]. Any quantification — hours, users, revenue — would be new information.
- **Commercial engagement honesty check.** On the Q1 call management said commercial data-centre engagement should not be expected "for the next year or two" [7]. Watch whether that candour holds or drifts more promotional under the pressure of a \$5.6bn market cap.

Investment Implications

Given what is priced in, the balance of risk and reward into tonight's print is **roughly symmetric with a negative reaction skew and a positive tail**. The revenue beat is largely pre-announced and therefore largely priced; positioning has leaned long into the event (P/C 0.51, calls ~2x normal, +10.4% in five sessions) [2][9][10]; and the ownership base that would absorb profit-taking has thinned materially (capital invested -31% QoQ, top-10 conviction 4→1) [2]. That is the configuration in which good news sells off.

Against that, the tail is genuinely valuable and should not be dismissed. Rigetti is the best-capitalised pure-play in the group — \$569m, no debt [31] — with a credible chiplet roadmap, hyperscaler distribution, in-house fabrication, a \$100m federal award in prospect, and a unanimous constructive sell-side tape with a \$29 consensus target [2]. Scenario EV of **+8.0%** with 2.4:1 tail asymmetry is a positive expectation. It is just a smaller expectation than the $\pm 12.2\%$ the option market says tonight's move will be [9], which argues against treating the print itself as the entry decision.

The more durable point: at 553x trailing sales, with only 10% of the share price backed by net cash, **no Q2 revenue figure can move fair value materially**. What can move the thesis is evidence on unit economics (gross margin), capital discipline (share count, burn) and roadmap credibility (fidelity). Those are the three things to grade the release on. Grading it on the revenue beat is grading it on the one number management already told us the answer to.

Closing (structured): Net assessment: Neutral — because the near-certain revenue beat is pre-announced shipment timing [14][19] while the one metric that would genuinely change the thesis, gross margin at -28.1% [2], is neither modelled by consensus nor likely to be resolved favourably this quarter. **Key risk: dilution** — an ATM that has already raised ~\$100m, an 11% share-count increase in three quarters, and a prospective US government equity stake to be struck 24% below the price at which the LOI was signed [11][13][24]. **Next catalyst: tonight's release and call, 21:00 UTC, August 6** [1], followed by the 99.5%

two-qubit fidelity milestone and the promised technology roadmap update, both guided for later in 2026 [7] [8], with Q3 results on November 10, 2026 [1].

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